

Verdant Health Advisory LLC

www.verdanthealthadvisory.com

February 20, 2024

Ms. Megan Wells
Director of Operations
Sullivan, Hall and Kelly

Dear Ms. Wells:

Thank you for the opportunity to assist Sullivan, Hall and Kelly with a diagnostic review of its revenue cycle. This letter sets out what we have agreed to do, who will do it, what it will cost, and the terms under which we will work. It supersedes our earlier discussions and correspondence on scope. If it reflects your understanding, please sign and return a copy at your convenience.

Scope of Services

We will conduct a diagnostic assessment of the revenue cycle from patient access through final account resolution. The review covers registration and eligibility verification, charge capture, coding and documentation as they affect billing, claim edits and submission, denial management, payment posting, and follow-up on aged accounts. We will assess current performance against internal history and against generally observed benchmarks for organizations of comparable size and payer mix, identify where cash is being lost or delayed, and quantify the recoverable portion where the data permits a defensible estimate.

Two points on the boundaries of the work. First, this is a diagnostic engagement and not an audit. We will not express an opinion on financial statements, and nothing in our deliverables should be read as an attestation or as a compliance opinion. Second, we will describe coding and documentation practices only insofar as they bear on billing performance. We are not engaged to perform a coding audit, and where our findings suggest one is warranted we will say so and stop there rather than substitute our own review for it.

The deliverables will be a findings report supported by the underlying analysis, an opportunity summary that sizes each identified item and ranks it by expected value and difficulty, and a closing presentation to the leadership group you designate. Where we recommend a course of action, the recommendation will be labeled as

such and kept separate from the findings, so that a reader can tell without effort which statements the data supports and which reflect our judgment.

Approach

We work from your data rather than from interviews alone. We will ask for extracts covering a trailing period sufficient to make the analysis stable: transaction-level detail on charges, adjustments, payments, and denials, together with the account-level records needed to trace an encounter from registration to resolution. We will supplement the extracts with structured interviews of the staff who do the work, and with observation where a process step cannot be understood from the record alone.

Our assumptions will be stated in the open. If we have to estimate a value the data does not carry, the estimate will be identified as one, and the basis for it will be given in the body of the report rather than in an appendix. We would rather present a smaller number we can defend than a larger one we cannot.

We will ask for a single point of contact on your side to coordinate data requests and schedule access, and we understand that role will be yours. The pace of the work depends materially on how quickly data requests are filled; we will flag any delay that threatens the schedule as soon as we see it rather than at the end.

Engagement Team

Susan Clark, Principal, will lead the engagement day to day and will be your primary contact for the substance of the work. Susan owns our service-line and margin analytics and will be responsible for the findings and the analysis behind them. Daniel Alvarado, Principal, will support the portions of the review that touch physician arrangements and compensation, and will be involved if any question of fair market value arises in the course of the work. That term has a specific meaning and we use it carefully; if the diagnostic surfaces a question in that area, Daniel will scope it separately rather than fold an opinion into this report.

I will serve as engagement partner. I read every deliverable before it leaves this office, and you may raise any concern about the conduct or the content of the work with me directly.

Fees and Payment

Our fee for the services described above is a fixed fee of \$53,000, inclusive of professional time and ordinary working expenses. We will begin on March 1, 2024

and expect the work to run approximately seven months from that point, subject to the availability of data and of your staff.

We will invoice monthly in arrears in proportion to the work completed. Invoices are payable within thirty days of receipt. The fixed fee assumes the scope described in this letter. If you ask us to expand the scope, or if conditions we could not reasonably have anticipated require materially more effort, we will tell you before doing the work and agree a change in writing. We will not perform out-of-scope work and invoice for it after the fact.

Term and Termination

This engagement begins on the start date stated above and continues until the deliverables are accepted or the engagement is terminated. Either party may terminate on thirty days written notice, with or without cause. On termination you will be responsible for fees for work performed through the effective date of termination, and we will deliver our work product in its then-current state, clearly identified as incomplete. We may also terminate if a conflict arises that we cannot resolve consistent with our professional obligations, in which case we will tell you as much as we properly can about the reason.

Confidentiality

We will treat all information you provide as confidential and will use it only for the purposes of this engagement. Access will be limited to the personnel named above and to any staff we add with your knowledge. We understand that some of the material we will handle is protected health information. We will limit our requests to the minimum necessary, work from de-identified or limited data sets where the analysis permits, and execute a business associate agreement in the form your counsel prefers before any protected information changes hands. Nothing in this letter is intended to modify that agreement, and if the two conflict, the business associate agreement governs.

Our deliverables are prepared for your internal use. Please do not distribute them outside your organization, or quote from them in a document intended for a third party, without our prior written consent. We will not unreasonably withhold it; we ask because a finding removed from its stated assumptions is easily misread.

Limitation of Liability

Our aggregate liability to you for any claim arising out of this engagement, whether in contract, tort, or otherwise, is limited to the fees actually paid to us under this letter. Neither party is liable to the other for indirect, incidental, or consequential

damages, including lost profits, however caused. Our findings depend on the accuracy and completeness of the data and representations you provide, and we are not responsible for conclusions affected by information that was inaccurate or withheld. This paragraph does not limit liability for fraud or for any liability that cannot lawfully be limited.

Governing Law

This letter is governed by the laws of the state in which your principal office is located, without regard to its conflict of laws provisions. Any dispute arising under it will be brought in the courts of that state, and both parties consent to that jurisdiction. Before either party files, we ask that the matter first be raised with me and with your Director of Operations, in the expectation that most disagreements can be resolved without counsel.

Acceptance

If the foregoing is consistent with your understanding, please sign below and return one copy to my attention. We are glad to be doing this work, and we appreciate the confidence Sullivan, Hall and Kelly has placed in us.

Very truly yours,

Laura Brown

Managing Partner

Date: February 20, 2024

Megan Wells

Director of Operations, Sullivan, Hall and Kelly

Date: February 20, 2024